

BOARD MEETING OF THE CBA

MINUTES (13.09.2022)

On the Refinancing Rate

The CBA Board Meeting of September 13, 2022 attended by CBA Governor M. Galstyan, Deputy Governors N. Yeritsyan and H. Khachatryan, and Board Members H. Ghahramanyan, D. Nahapetyan, A. Manukyan and L. Sahakyan

The Board meeting opened with presentation of the Situation Report as of September 13, 2022. It addressed the developments on inflation, external environment, and real, fiscal, financial and monetary sectors of the economy, at the same time taking into account the additional uncertainties as a result of the military operations on the Armenian-Azerbaijani border that started on the same day and their possible impacts.

As noted, in August 2022 0.2% inflation was recorded, against 0.4% inflation in the same month of the previous year. The month's inflation was mainly contributed by the growth of prices of non-food products and services by 0.4% and 0.6%, respectively, while food prices dropped by 0.2%. As a result of a significant growth of demand in the services sector, particularly large increase was recorded in the prices of products of “Recreation and Culture”, “Restaurants and Hotels”, “Housing services” and “Various Goods and Services” subgroups: 1.0%, 0.7%, 0.6% and 1.5% respectively (total contribution to inflation: 0.22 percentage points). The decrease in the prices of food products was mainly due to the decrease of the prices of “Fruit” and “Oils and Fats” sub-groups by 5.7% and 2.3%, respectively, which restrained the monthly inflation by 0.24 percentage points. At the same time, the prices of the subgroups “Dairy, Cheese and Eggs” and “Meat” grew by 1.2% and 0.8%, respectively (total contribution to inflation: 1.15 percentage points). ***As a result of these changes, the 12-month inflation slightly dropped to 9.1% at the end of the month. The 12-month core inflation continued to grow, totaling 10.2%.***

Current developments in the external sector were presented. As noted, in the third quarter, the trends of low economic activity and high inflation persisted in the global economy, and particularly the main partner countries of Armenia. The consistent monetary policy conducted by the central banks of partner countries of Armenia, in the context of restraint economic activity and demand, contributes to

alleviation of the global inflationary environment, as well as to a certain drop of prices in international commodity market. At the same time, as a result of price shifts of energy carriers, risks of expanding inflation have emerged in Armenia's EU partner countries. It was noted that in the sustained high inflation environment, the central banks of developed countries will continue to conduct contractionary monetary policy, which will contribute to the alleviation of inflationary effects from the external sector.

The Board reviewed developments of the RA economy, it was noted that due to the high growth of the services and construction sectors, high economic activity continued in the third quarter of 2022. Positive developments also continue in the IT and manufacturing industry sectors, reflecting a certain growth in export and economic growth potential. In view of these developments, the Central Bank revised the economic growth forecast for 2022 and expects a significantly higher figure. However, it was noted that high economic growth was mainly contributed by demand factors, resulting from the large-scale inflow of international visitors and tourists, as well as financial flows. At the same time, it was stated that given the high aggregate demand, implementation of monetary and fiscal contractionary policies is crucial, the latter particularly in the context of tightening tax administration and adjusting the relevant tax policy.

The developments of the RA financial market were discussed and it was noted that in the third quarter, short-term market interest rates continued to shape around the policy rate. Due to the significant increase in the demand for domestic services by international visitors and the large financial inflow, in the second and third quarters an appreciation of the dram in RA foreign exchange market has been observed.

Concerning inflationary developments, the Board stated that while the external inflationary effects have somewhat weakened and inflationary expectations of households alleviated, the high demand existing in the domestic economy due to the sustained large influx of international visitors and tourists, significantly contributes to the expansion of the domestic inflationary environment and the persistence of high inflationary expectations.

It should be noted that the Board considered all the discussed issues in the context of the possible effects and risks of the military operations started on the Armenian-Azerbaijani border on the day of the session. In the context of uncertainty regarding the situation, the discussion mainly focused on the scenario of a certain weakening of economic activity and the emergence of

possible risks of inflationary factors. If as a result of the operational monitoring of the Central Bank, risks are identified in any direction, the policy will be adjusted accordingly.

After reviewing the Situational report and external and internal macroeconomic developments, the Board proceeded to the discussion of macroeconomic scenarios, monetary policy directions and the decision on policy rate. Forecasting team presented to the Board scenarios of future economic developments in the macroeconomic situation above described, including the relevant actions of monetary policy. According to some members of the Board, the existing positive high demand will significantly contribute to the expansion of inflationary environment in the near future, hence it is necessary to continue consistent tightening of monetary policy by raising policy rate. Other Board members considered that the weakening of inflationary effects from the external sector, the appreciation of the dram and the previous actions of the Central Bank policy have been already reflected in the dynamics of positive demand adjustment and plummeting of inflation and inflationary expectations, hence changing the monetary conditions at this stage was not feasible. ***Subsequently, the Central Bank Board decided by the majority of votes to raise refinancing rate by 0.5 percentage points.*** To this end, the Board emphasized its tenacity in ensuring stabilization of inflation with adequate actions and neutralizing any risk of deanchoring inflationary expectations. Under such policy measures, the 12-month inflation would be reduced and stabilize around the 4% target from the end of 2023.

The Board considers that the risks of inflation deviation from the projected trajectory are mainly balanced. In case of risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

ON ESTABLISHMENT OF INTEREST RATES OF MONETARY POLICY INSTRUMENTS OF THE CENTRAL BANK OF ARMENIA AND PRESS RELEASE ON REFINANCING RATE

By virtue of Article 2(3), Article (20) “c” and “e” of the law “On the Central Bank of the Republic of Armenia”, and provisions of the Republic of Armenia law “On Normative Legal Acts”, the Board of the Central Bank of the Republic of Armenia enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 10.0%.
2. Set the Lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 11.5%:
3. Set the deposit facility rate offered by the Central Bank of the Republic of Armenia at 8.5%.
4. Approve the press release on the refinancing rate of the Central Bank of the Republic of Armenia (attached).
5. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank September 13, 2022

PRESS RELEASE
13.09.2022

At September 13, 2022 meeting, the CBA Board decided to raise the policy rate by 0.5 percentage points setting it at 10%.

In August 2022, 12-month inflation decreased to 9.1% at the end of the month. 12-month core inflation continued to grow reaching 10.2%.

In the third quarter of 2022, low economic growth and high inflation continued to sustain in the main partner countries of Armenia. The central banks of advanced countries will continue to conduct contractionary monetary policy. This will be reflected in the tightening of global financial conditions and in slowing of economic activity. Subsequently, a certain drop of prices will be observed in the international commodity markets, contributing to the gradual easing of the global inflationary environment. Hence, it is expected that inflationary effects from the external sector will subdue.

During the third quarter of 2022, high economic activity continued to be observed in Armenia. It mostly is witnessed in services and construction sectors. Positive developments continue in the export sector as well. High economic growth is predominantly driven by the demand factors. Again, its main contributors are the significant influx of international visitors and remittances. High demand contributes to the expansion of the inflationary environment and persisting high inflationary expectations.

In the current situation, the Board finds it appropriate to raise the policy rate. Relatively contractionary monetary policy and dram appreciation will gradually contribute to curbing demand and reducing inflationary expectations. The CBA Board is consistent in taking adequate actions to stabilize inflation and to offset any risk of deanchoring of inflation expectations. In line with the outlined monetary policy scenario, the 12-month inflation will gradually decline and from the end of 2023, will stabilize around the 4% target.

The CBA Board considers that the risks of inflation deviation from the projected trajectory are mainly balanced. Should the risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

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